

Chapter 5

Cryptocommodities and Cryptotokens

Cryptocurrencies are a powerful vertical of cryptoassets, but as we laid out in the start of the last chapter, only one of three. The other two, cryptocommodities and cryptotokens, are a rapidly growing segment of this budding new asset class. First, let's look at cryptocommodities.

In some ways, cryptocommodities are more tangible in value than cryptocurrencies. For example, the largest cryptocommodity, Ethereum, is a decentralized world computer upon which globally accessible and uncensored applications can be built. It's easy to appreciate the value of using such a computer, and therefore Ethereum provides a digitally tangible resource. Paying to use Ethereum's world computer—also known as the Ethereum Virtual Machine (EVM)—is reminiscent of when schools and libraries had shared computers that students could use. One person could sit down and use a computer for a while before moving on, and then another person would come and use it.